



Desires as Economic Foundation

The Marginalist Grammar
and The Opportunity

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*Challenges are not hard because the world is complex,
or because digital technologies have powers
we have not yet learned to manage.*

*We are just looking at economic life
through incomplete frameworks.*

I. The Two Descartes

1.1 — The Meditations Descartes

René Descartes, in the *Meditations on First Philosophy* (1641), installed the framework that would govern modern conceptions of objectivity for centuries. The first move is ontological: there are two kinds of substance. *Res cogitans* — thinking substance, mind. *Res extensa* — extended substance, the physical world available for measurement. Two domains, categorically distinct, governed by different principles.

The second move is epistemological, and it is derivative of the first. From the ontological split, Descartes drew a conclusion about knowledge: what is clear and distinct — mathematical, logical, expressible in universal terms — constitutes reliable knowing. What is confused, variable, particular to the experiencing subject — the passions, the senses, bodily affects — is secondary, noise to be disciplined by method. This is where the objective/subjective distinction as a locus of thinking takes shape. "Objective" becomes what survives the method: universal, repeatable, observer-independent. "Subjective" becomes what resides in the particular agent: real, perhaps, but epistemically suspect.

The two moves are related but distinct, and their conflation has consequences. The passions, for instance, belong to *res cogitans* — they are modifications of thinking substance. But the epistemological move classifies them as unreliable precisely because they are variable, particular, and resistant to formalization. The ontological distinction says mind and body are different substances. The epistemological derivation says that within the mind itself, only what is clear and distinct counts as knowledge. Everything else — including desire — is demoted.

The fundamental appeal of this framework was not its negative judgment on subjectivity. It was the positive, intoxicating claim about objectivity: what survives the method is universal, observer-independent, not negotiated, not relational, not finite, not institutional. The new instruments — telescopes, microscopes, the analytic geometry Descartes himself invented — were producing results of such stunning power that anything they could not reach looked like deficiency rather than a different domain. The unbearable light of the new lenses produced its own blindness. Everything not capturable by mathematical regularity was demoted, not on evidence, but on methodological intoxication.

This is the Descartes that filtered down into the social sciences, and eventually into economics. "Subjective" came to mean *located in the agent* and simultaneously *suspect, noisy, to be disciplined by method*. When Jevons, Walras, and Menger later grounded economic value in "subjective" assessments, they inherited this double meaning: the subject is the site of valuation, but the subject's experience — its temporality, its ambivalence, its relational formation — is not the object of inquiry. What matters is the formalizable remainder: the preference ordering, the utility function, the revealed choice.

1.2 — Elizabeth's Intervention

Beginning in 1643, Princess Elizabeth of Bohemia entered into correspondence with Descartes that would quietly undermine the entire architecture. Her question was concrete: if mind and body are truly distinct substances, how do they interact? She was not asking abstractly. She was living in political exile, carrying grief, and her emotional states were producing physical illness. The mind-body union was not a puzzle for her. It was her daily condition.

Descartes could not absorb the question within his existing framework. What he did instead was extraordinary.

1.3 — The Third Primitive Notion

In the letter of June 28, 1643, Descartes admitted to Elizabeth that there are not two but three primitive notions: thought, known by intellect alone; extension, known by intellect aided by imagination; and the union of mind and body, known only through *l'usage de la vie et des conversations ordinaires* — the practice of life and ordinary conversations. He told her explicitly that meditating on the distinction between mind and body actually *harms* the understanding of their union, and that those who never philosophize understand this union better than those who do.

The founder of modern rationalism was saying: there is an important sphere of human existence that my method cannot reach. And the mode of access to it is not philosophical analysis but ordinary conversation — the everyday, relational, embodied exchange between people living their lives.

This Descartes — the one who discovered that desire, passion, and embodied experience belong to a domain with its own intelligence, irreducible to either pure thought or pure extension — never made it into the economics curriculum.

1.4 — Wonder as the First Passion

The *Passions of the Soul* (1649), the treatise that emerged from the exchange with Elizabeth, contains a discovery that has direct consequences for any theory of value grounded in desire. Descartes identifies six primitive passions: wonder, love, hatred, desire, joy, and sadness. Wonder — *l'admiration* — is the first. Not desire. Not need. Not lack. Wonder.

Wonder is the encounter with what is new and not yet categorized. It precedes all evaluation, all preference-ordering. It is the moment before the subject knows whether it wants or fears or loves — a pure openness to what presents itself. It is Genesis: the breath before intelligibility.

Every situated human action has its Genesis. If the first passion is wonder, then any theory that begins with preferences — with goods already arrayed for comparison, with the agent already knowing what the options are — has skipped the first moment of the passionate life as articulated by Descartes. The preference framework presupposes a subject who has already completed the encounter with novelty and is now operating downstream of it. The theory takes the already-constituted agent as given. What it cannot see is the constitution itself.

1.5 — *Générosité*

The master virtue of the *Passions* is *générosité* — not generosity in the modern sense, but a disposition grounded in two things: the knowledge that one has free will, and the resolution to use it well. Descartes does not claim metaphysical proof of free will as a demonstrated theorem. *Générosité* requires an existential resolution, a working commitment — the agent takes itself to have free will and resolves to exercise it with care. The theoretical status is deliberately lighter than the foundational certainty of the *cogito*. A theoretical choice, not a metaphysical guarantee.

This is an engaged, embodied, relational disposition. A generous person, for Descartes, esteems others as much as themselves, does not despise anyone, and acts with both firmness and humility. It is the farthest thing from the utility-maximizing agent.

1.6 — The Descartes Economics Received

The transmission was not an intellectual error in the simple sense. The entire institutional apparatus of modern science — the one Descartes helped build — selected for the method-Descartes and filtered out the Elizabeth-Descartes. Universities, journals, disciplinary boundaries, peer review, the prestige hierarchy of mathematical formalization: all of these are institutions built on the objectivity-as-universality framework. The *Passions* Descartes, the one who said the most important things are known through ordinary conversation, had no institutional home. His insight was structurally homeless within the very system his earlier work helped create.

It is not incidental that it was Elizabeth who broke open the framework. It was not an internal logical contradiction that did the work. It was an encounter with another person — a woman in exile, in grief, whose body was insisting on what the system excluded. The revision happened relationally. Descartes could not think his way to the union. He had to be drawn into it by someone else's concrete existence.

II. Smith Before the Sorcery

2.1 — The Constitutively Relational Subject

Adam Smith's *Theory of Moral Sentiments* (1759) builds its entire architecture on a claim that stands in direct opposition to the Cartesian isolated subject. The very first line establishes the ground: however selfish man may be supposed, there are evidently some principles in his nature which interest him in the fortune of others. The self in Smith is not a *res cogitans* calculating in isolation. It is a being that forms itself through acts of imaginative identification with others.

The central mechanism is sympathy — not in the modern sentimental sense, but as a cognitive-affective operation: the capacity to imagine oneself in another's situation and to feel with them. From this capacity Smith derives the impartial spectator — an internalized social perspective from which one evaluates one's own conduct. This is not a logical device. It is a relational achievement, built up through real encounters, formed in something very close to Descartes' *conversations ordinaires*.

Smith's subject is constitutively I-We from the start.

2.2 — A Different Question, Not a Different Subject

The Wealth of Nations (1776) does not abandon the relational subject. It asks a different question: how does the division of labor organize production and exchange at scale? In pursuing that question, Smith allows the relational subject to recede into the background. He does not deny it. He presupposes it. The economic agent of *The Wealth of Nations* is supposed to be the moral agent of TMS operating in commercial society, with the moral sentiments still operative.

Smith never abandoned TMS. He revised it throughout his life. The sixth and most substantially revised edition appeared in 1790, the year of his death — fourteen years after *The Wealth of Nations*. The final revisions sharpened the moral framework; they did not weaken it.

What the later predominant scholar traditions did was take the *WN* agent, strip away the TMS presupposition, and treat the remainder as the complete picture. They performed on Smith exactly what institutional filtration performed on Descartes: they selected the formalizable component and discarded the relational ground it depended on.

2.3 — The Invisible Hand: Three Uses

The phrase "invisible hand" appears exactly three times in Smith's entire published corpus.

In the *History of Astronomy*, a youthful essay written before 1758 and published posthumously, Smith describes how in polytheistic religions, only irregular and unexplainable events were attributed to the gods — the invisible hand of Jupiter was invoked for lightning and storms, not for the regular behavior of fire or falling bodies. Smith explicitly characterizes this as pre-scientific thinking: the kind of explanation people resort to when they cannot trace the actual causal chain.

In *The Theory of Moral Sentiments*, Smith observes that the rich, despite their selfishness, end up distributing some of their wealth to the poor through the employment they provide — they are led by an invisible hand to a distribution roughly resembling what would have obtained had the earth been divided equally. This is a modest observation about vanity's unintended consequences, not a theory of market coordination.

In *The Wealth of Nations*, the passage concerns merchants preferring domestic to foreign investment. Each merchant, intending only his own security and gain, is "led by an invisible hand to promote an end which was no part of his intention." Smith adds the word "frequently" — not always, not necessarily.

Three uses. Three different contexts. None a general theory. None a principle of economic coordination. None framed as a prescription for policy.

2.4 — The Later Construction

The phrase was not commonly cited among economists before the twentieth century. Alfred Marshall never used it in his *Principles of Economics*. Jevons never used it in his *Theory of Political Economy*. The transformation of a passing metaphor into a foundational principle was largely the work of Paul Samuelson, whose 1948 *Economics* textbook presented it as though Smith had proclaimed a general principle: that self-interested individuals are guided to achieve the best social good.

An entire theoretical edifice was built around an expression that appears three times in over a million words of published work, and that its author used in contexts ranging from pre-scientific superstition to a hedged observation about domestic trade preference. The "invisible hand" as economic doctrine is a mid-twentieth-century construction attributed retrospectively to an eighteenth-century author.

2.5 — The Point Where Intelligibility Runs Out

Across all three uses, the invisible hand marks the same structural feature: the point where the agent's understanding reaches its limit. In the *History of Astronomy*, it is the gap between the irregular event and the capacity to explain it — a god's hand fills the void. In *TMS* and *WN*, it is the gap between what the agent intends and what actually results.

The invisible hand is never, in Smith's usage, a mechanism. It is a name for the absence of a mechanism in the agent's understanding. It is what you say when the causal chain exceeds your grasp.

Smith's own intellectual project — across all three works — was to replace invisible hand explanations with actual causal accounts. The *History of Astronomy* says this explicitly: science begins when you stop invoking Jupiter's hand and start tracing chains of cause and effect. In *TMS*, the visible mechanisms are sympathy and the impartial spectator. In *WN*, they are the division of labor, the propensity to exchange, and the way prices coordinate information. Smith spent hundreds of pages tracing actual institutional, behavioral, and structural mechanisms. The "invisible hand" appears where the tracing is not yet complete.

The later tradition took Smith's placeholder for "I haven't yet explained this" and elevated it into the foundational principle — as if the gap were the explanation.

2.6 — Fortuna's Door

Smith's invisible hand and Machiavelli's Fortuna share a structural feature. Both name the moment where human planning and intentional agency meet their limit and something else enters — a door for the uncanny, an opening where outcomes exceed what any agent intended or can fully account for.

Neither Smith nor Machiavelli treated this as reassuring. Machiavelli's response was institutional: build dikes and channels in advance so that when the flood comes it can be directed or contained. Smith's response was analytical: trace the actual mechanisms — sympathy, the division of labor, the way prices carry information — rather than resting at the gap.

What happened in the later reception is traceable. The gap in intelligibility — originally an honest acknowledgment that outcomes exceed intentions — was gradually converted into a guarantee that unintended outcomes are optimal. A placeholder for incomplete understanding became a principle of benevolent coordination. Smith's "frequently" became "always." The door that both Machiavelli and Smith understood as demanding institutional and intellectual work was reframed as a door that takes care of itself.

III. The Temporality of Desire

3.1 — The Past Will Devour You Alive

The past does not sit behind the present as a completed record. It arrives as demand, as unfinished business, as the unsatiated that insists on being fed. Trauma, habit, unresolved need, the body's accumulated history — all of it shows up not as memory but as appetite. If you do not attend to it, it does not quietly recede. It devours. It takes over the present from behind.

This is desire's first temporal feature: it is driven by what was never resolved. The engine runs on the past.

3.2 — The Present as Have-Not

The present is not a plenitude from which the agent selects. It is constitutively insufficient — a lack that seeks. The present subject is overwhelmed: too many demands from the past, too few vehicles of satisfaction available now. And the vehicles that do exist are moving, scarce, hard to reach. The present is not a calm field of options laid out for rational selection. It is a desperate, overloaded, under-resourced searching.

3.3 — The Future Colonized

The future arrives not as open possibility but as the projection of the past's ghost. What was never satiated extends its arm forward, occupying the space where genuine openness might have been. The possibility of satisfying or not satisfying — that binary — fills the future's horizon so completely that the future as genuine novelty cannot appear. The future is the past's extended arm.

3.4 — Directionality

The whole structure moves. It is not contemplative. It is not a subject standing before options and weighing them. It is a current — visible, strong, unstoppable — carrying the subject forward whether or not the subject has chosen the direction. Desire has momentum. It does not wait for deliberation. It pushes.

3.5 — What the Preference Framework Inverts

If this is what desire's temporality actually looks like, the marginalist formalization inverts every structural feature.

The preference framework assumes the past is irrelevant. Preferences are given, atemporal, context-free. Sunk costs are sunk. History does not eat you. But desire's actual engine runs on what was never resolved. To strip the past from desire is to remove the engine and keep only the dashboard.

The preference framework assumes the present is sufficient — a budget constraint, a set of available goods, a moment of calm calculation. Desire's present is constitutively a have-not, a gap, an overwhelmed seeker.

The preference framework assumes the future is open — the space of rational choice among possibilities weighted by expected utility. Desire's future is already occupied by the past's ghost. There is no open future in which to optimize. The ghost arrived first.

The preference framework is essentially static — a snapshot of orderings at a moment. Even when economists add time through intertemporal optimization and discounting, they treat each moment as a new snapshot. Desire has directionality. It is a current. You do not stand outside it and choose. You are in it. The Walrasian auctioneer stops time so that all agents can simultaneously compute their optima. Desire's temporality does not stop. It pushes.

IV. Desire as Past with Steroids

4.1 — Yuja Wang's Right Hand

Desire is the past with steroids. For good and for bad.

Yuja Wang's right hand has been trained by tens of thousands of hours of repetition. The fingers want the keys. Not metaphorically — the neuromuscular pathways, the motor memory, the anticipatory tension that fires before the note arrives, all of it is desire built from the past through repetition. The speed, the precision, three storms in lightning succession — try to interrupt her, try to calm her down, and you will see the desire coming at you with full force. The body has accumulated so much patterned history that the desire to play at that level is not a choice. It is an insistence. It comes through you. It would be harder to stop it than to let it run.

4.2 — The Structural Identity — and Why It Misleads

The heroin addict's hand reaching for the needle has the same downstream phenomenology. The past accumulated through repetition, the body insisting, the anticipatory tension firing before the act, the directionality that comes through you and would be harder to stop than to let it run. Both have momentum. Both resist interruption. Both overwhelm the present.

But the structural similarity in the moment of expression conceals a radical difference in formation. The distinction between mastery and addiction does not live in what desire does once it is running. It lives in how desire was constituted.

4.3 — Wang's Genesis

Wang's desire for piano begins in wonder — a child falling in love with an instrument. Descartes' first passion. The encounter with what is new before evaluation begins. Then the desire enters a relational field that is thick, contested, and formative.

Her father's obsession with tempo and rhythm — she fights it. She does not passively receive his desire as her own. There is resistance, negotiation, and eventually a learned appreciation, which is something entirely different from submission. She appropriates it on her own terms, through struggle. Her mother's dancing — she enjoys it but keeps it differently. Another selective appropriation, not imitation.

This is desire forming through relationship, through friction, through a field of others who care, who push, who offer something the child can resist, negotiate with, transform, and eventually make her own. The desire is hers — deeply, genuinely hers — but it was never only hers. It was composed relationally, over time, with real others who had their own desires and their own limitations. And it was sustained by institutions: conservatories, teachers, traditions, a musical culture that provided the structure within which individual mastery could develop.

4.4 — The Scottish Youth

A whole cohort of young people in a Scottish city were introduced to heroin by consuming marijuana laced with heroin to trigger physiological dependency. The addiction was initiated before any encounter with the substance as itself had occurred. There is no moment of wonder, no falling in love, no fighting a parent's expectation, no selective appropriation. There is a chemical triggering of dependency in neural pathways that produces a desire the person never formed, never negotiated, never had the chance to resist or endorse.

And the targets were not random. Marginalized, disenfranchised, without systemic trajectories. People already without the institutional thickness that might protect them. Without the dikes. Without the relational field that gave Wang her capacity to fight her father and learn from him simultaneously. The absence of institutional support is not incidental to the addiction. Chemistry alters physiology by different means, structures, and speeds. The chemical intervention works precisely because the relational and institutional field that could resist it has already been thinned, degraded, or was never available.

4.5 — Composition Versus Decomposition

Wang's accumulated repetition builds a capacity — something that did not exist before, that is durable, that can be given to others, that enriches the field from which it emerged. Each performance is a completed arc: intensity, dissolution of ordinary self-consciousness, and return. She goes into the storm and comes back.

Addiction's accumulated repetition builds tolerance — the progressive requirement for more of the same to achieve less of the effect. The arc never closes. The high ends and the only available next move is another dose. The loop never completes into return.

One is compositional — it adds to the world. The other is extractive — it depletes the subject and the world simultaneously.

4.6 — The Framework's Incapacity

In the utility framework, Wang's desire to play Rachmaninoff and the addict's desire for heroin are formally identical: both are preference-satisfactions that can be ranked, compared, and optimized. The framework has no way to distinguish a desire that composes from a desire that decomposes, because it has no concept of composition. It has no way to distinguish a completed arc from a loop, because it has no concept of temporal form. It has no way to distinguish capacity-building from tolerance, because it has no concept of what repetition does to the subject over time. It has no concept of genesis — how someone came to desire what they desire, through what means, with what degree of participation in their own formation.

The framework sees only: agent prefers A to B, agent has budget constraint, agent chooses A. Whether that A is a Steinway or a syringe is, within the formal apparatus, irrelevant.

V. Addiction Laced in Likes

5.1 — Entertainment as Technology of Occupation

David Foster Wallace saw with great clarity that entertainment had stopped being a margin of rest and begun operating as a technology of occupation. It enters people's lives not only to offer pleasure. It enters to organize attention, rhythm, expectation, relief, repetition. What it produces is not only distraction. It produces a subject more available to be carried from one stimulus to the next.

Desire is plastic. Contemporary culture did not invent that plasticity, but learned to work on it with unprecedented precision. Continuous stimulation reorganizes anticipations, comparisons, fantasies of access, and promises of validation. All participate in the same architecture: they open circuits of rapid response, sustain interest through variation and repetition, and convert continuity of attention into an extractable resource.

5.2 — The Innocuous Is Worse Than the Extreme

Heroin laced into marijuana is legible as crime. There is a perpetrator, a victim, a substance, a deception. The law can see it. Morality can see it. Even the marginalist framework, if pressed, can classify it as fraud — the consumer did not know what they were purchasing.

Addiction laced into likes has none of these features. No identifiable substance — it is approval, recognition, the small warmth of being seen, which are among the most fundamental human needs. No deception in the narrow sense — the user knows they are on the platform, consented to terms of service, was not forced to open the app. No victim who looks like a victim — no alley, no needle marks, the family may not notice for years.

5.3 — The Very Visible Hand

But there is a team. The engineer adjusting notification timing to coincide with the user's lowest point in the attention cycle exists. The team A/B testing two versions of a feed to determine which produces longer session duration exists. The product manager whose quarterly metric is daily active users makes decisions every day. The psychologist consulting on variable reward schedules brought specific expertise to a specific problem: how to make the return compulsive.

This is not an invisible hand. This is a very visible hand doing precise work on the machinery of wanting. The professional vocabulary of the industry — persuasive design, user experience optimization, engagement — describes these operations in language that does not distinguish them from service.

5.4 — Engineering the Temporal Structure

The engineering targets exactly the temporal structure of desire.

The variable reward schedule — imported directly from behavioral psychology. If the reward is predictable, habituation sets in and engagement drops. If the reward is variable — sometimes a like, sometimes nothing, sometimes a flood of approval — the craving never habituates. The organism keeps pulling the lever.

The social comparison architecture — the platform shows what others received, how your metrics compare. It activates the temporal structure directly: the past as unrecognized need, the present as lack, the future colonized by the possibility of the next post being the one that brings the approval.

The infinite scroll — the elimination of any natural stopping point. A book has a chapter ending. A conversation has a pause. A meal has satiation. The scroll has no structural completion. It removes from the environment any signal that could trigger the interval — the space between desire and action where second-order evaluation might occur.

5.5 — The False Dionysus at Scale

The platform offers states that phenomenologically resemble Dionysian dissolution: boundary loosening, merger with something larger, intensity, loss of ordinary self-consciousness. But the structure is incomplete. The genuine Dionysian arc has three beats: bounded self, real dissolution, transformed return. The individual returns altered, carrying something back.

The platform's business model does not incentivize the third beat. A user who returns from the feed as a genuinely altered person is less available, less retainable, less monetizable. The architecture retains the dissolution phase and loops it. What looks like release is a managed oscillation between mild tension and mild relief — never deep enough to be genuinely dissolving, never completing into transformation.

The platform economy, read through this lens, simulates dissolution without regeneration. It offers Dionysian phenomenology shaped by algorithmic management — the feeling of groundlessness without contact with ground. Ground is what you return to and are changed by. Groundlessness is what you stay in — suspended, stimulated, never landing.

5.6 — What the Framework Cannot Distinguish

The marginalist framework treats platform engagement as revealed preference. Users open the app, therefore they prefer to open the app. They scroll, therefore scrolling satisfies a preference. They return, therefore the platform provides value. Engagement metrics are the proof that the market is working.

The framework cannot distinguish between Yuja Wang returning to the piano and a teenager returning to a social media feed for the fortieth time today. Both are preference-satisfying behaviors. Both reveal the agent's values. Both are sovereign choices to be respected.

The consequence is specific: once desires are modeled as given data and satisfaction is the objective, the question of how desires were formed has no place in the analysis. The framework does not reject the question. It has no variable for it. The question of formation falls outside the model's vocabulary the way magnetism falls outside a model that contains only mechanics.

VI. Menger's Two Acts

6.1 — The Mengerian Architecture

Carl Menger's *Grundsätze der Volkswirtschaftslehre* (1871) builds from a specific starting point: a human being has a *Bedürfnis* — a need. A good has value if and only if the agent perceives a causal connection between the good and the satisfaction of that need. Value is not in the good. It is not in the labor that produced it. It is not in the natural commons from which the materials were drawn. It is in the relationship between the agent's need and the good's perceived capacity to satisfy it.

Then the goods-order system. First-order goods satisfy needs directly. Higher-order goods contribute to producing first-order goods. Value flows downward through the chain, from the agent's need through the first-order good backward to all higher-order goods. In classical political economy — Smith, Ricardo, Marx — value flows forward from production to product. Labor enters the good; the good carries that labor as its value. Menger reverses the directionality. The need pulls value through the chain. Production has no value-creating power of its own.

Menger is the most philosophically careful of the three marginalists, which makes his operations deliberate rather than merely sloppy.

6.2 — The Sorcery: Making the Relational Disappear

The I-We — the act of incorporation, the commitment of persons to shared undertaking, the going concern as a relational achievement — vanishes from the framework. What remains is an isolated agent with a need. The entire compositional history that produced the agent, that situated them in a field of relationships, that gave them the capacity to assess, to know, to declare — all of it disappears.

The agent appears alone, fully formed, needing.

This is Menger's first act. Not an argument against the relational, but a framework in which the relational has no place. The sorcery is quiet. Nothing is denied. Something is simply not there.

6.3 — The Wizardry: Conjuring a Need in a Mind

Once the relational field has been removed, the need has to live somewhere. It can no longer live where it actually lives — in the disquiet of a situated being, in the conversational articulation of possibilities, in the declaration made to others about what is missing. So Menger installs it inside the agent's mind as a subjective perception: a private, internal awareness of a causal connection between a good and a satisfaction.

The two operations are sequential and depend on each other. You cannot install the need in the mind until you have eliminated the field in which the need actually forms. And once the need is in the mind, the field cannot return — there is no longer a conceptual place for it.

Alternatively, this subjective assessment can be read as saying that value is determined at the moment of transaction. This reading is arguably more revealing, because it collapses the entire temporal structure of desire, assessment, deliberation, and commitment into a single point: the moment when money changes hands. Whatever conditions prevail at that moment — the desperation of the buyer, the asymmetry of information, the power differential, the institutional abandonment that left one party with no alternatives — all of it is absorbed into the price without distinction. The transaction becomes the assessment. The price becomes the value. The genesis disappears.

6.4 — The Disappearance of Labor

Labor does not disappear by being denied. It becomes a higher-order good. It has value, but only derived value — insofar as it contributes to producing something that satisfies a need. The worker's activity has no intrinsic value-creating capacity. It is valued the way flour is valued: instrumentally, by its contribution to the final good, as assessed by the consuming agent.

This is not a technical reclassification. It is an ontological demotion. The laborer goes from being a source of value — someone whose activity creates what was not there before — to being a means to satisfaction — a higher-order good in someone else's need-satisfaction chain. The worker's existence derives its economic meaning from the consumer's desire.

6.5 — The Disappearance of the Commons

The commons disappears by an even more efficient mechanism. In Menger's framework, a good has value only if it is scarce relative to need. If air is abundant, it has no economic value. If water is abundant, it has no economic value. The commons, insofar as it is genuinely common — available to all, not yet enclosed, not yet depleted — literally does not register.

The commons becomes visible to the framework only at the moment of its destruction — when enclosure, pollution, or depletion makes it scarce enough to enter someone's need-satisfaction calculus. The framework can see the commons only when the commons is already dying in such a way that affects human populations with power.

6.6 — Three Questions the Framework Cannot Answer

Value for whom? Menger's answer — for the agent who has the need — immediately multiplies the question. There are as many values as there are agents. The actual price emerges from the interaction of all of them. Value is not in the relationship between one agent and one good. It is in a field of relationships among multiple agents, each situated differently, each with different power, information, urgency, and history. Menger's own framework, pressed honestly, points toward a field theory of value. He stops at the individual agent because the field would require everything he has excluded.

Who has the authority to make the assessment? Every assessment is made from somewhere, under constraints. The agent must have knowledge — which comes from tradition, education, conversation, the commons of accumulated understanding. The agent must have standing — the capacity to enact dignity in the assessment, which requires access, time, and institutional conditions that support deliberation. The agent must have cognitive capacity — formed through development, relational engagement, institutional support. The framework assumes the conditions it cannot account for.

Under what constraints? When assessments conflict, who prevails? The one who values the good more, expressed through willingness to pay. But willingness to pay is a function of ability to pay, which is a function of prior distribution, which is a function of institutional history. The authority to make the assessment that counts is institutionally constituted. The framework does not model this power relation; it presents the assessment as a neutral cognitive act.

VII. The Genesis That Menger Amputated

7.1 — Agent Situated in the World

The agent does not begin as an abstract preference-bearer. The agent is already in the world, already with others, already thrown into a history and a set of relationships. The starting point is not the Cartesian subject facing objects. It is someone already engaged.

7.2 — Disquiet

The need does not arrive as a clean signal. It arrives as a mood, a disturbance in the ongoing flow of engagement. Something is not right. The body is uneasy. The situation presses. This is attunement, disposedness — the way the world shows up as mattering before any cognitive assessment occurs. Menger's agent already knows what they need. But in actual experience, the first moment is not knowing what is wrong — only that something is.

7.3 — Articulation of Scenarios and Possibilities

From the disquiet, the agent begins to interpret — to project possible futures, to imagine what might resolve the disturbance. This is not calculation. It is an imaginative, situated, often conversational process. The possibilities do not exist in a pre-given option set. They are generated through engagement with the situation.

This is the marginalist framework's most consequential limitation: it assumes the option set is given. In actual experience, articulating what the options even are is the hardest and most consequential part of the process.

7.4 — Commitment with Others

The agent does not choose in isolation. They commit — which is different from choosing. A choice can be reversed; a commitment has temporal weight, it costs something, it forecloses other paths. And the commitment is with others: it involves coordination, promise, trust, shared risk. This is where the I-We structure becomes operative. The commitment is not a private preference-satisfaction. It is an entry into a relational field with obligations and exposures.

7.5 — Declaration

Only now — after disquiet, after articulation, after commitment — does the declaration occur. Something is missing. Something blocks. Something is broken. This is not the passive registration of a need. It is a speech act — a declaration made from within a committed engagement, addressed to others, carrying authority precisely because the speaker is committed and situated. The declaration constitutes the need as a need. Before the declaration, there was disquiet. After it, there is a nameable absence that can organize action.

7.6 — Definition of Need

Only here — at the end of the genesis, not the beginning — does the need appear as Menger describes it: a specific lack that a specific good could satisfy. But by the time we arrive here, the need is saturated with everything the framework excluded. It carries the agent's history, the relational field, the institutional conditions, the committed engagement with others, the speech act that constituted it.

Menger takes this last stage and treats it as the first and only stage. Everything upstream — the disquiet, the articulation, the commitment, the declaration, the relational field in which all of this occurs — is invisible to the framework. This is not a simplification. It is an amputation. And the amputated portions are the portions in which labor appears (as the activity of articulating, committing, and declaring), the commons appears (as the shared field of knowledge, practice, and institutional support that makes articulation possible), and the relational field appears (as the I-We structure within which commitment and declaration have their meaning).

7.7 — Samuelson's Completion of Menger

Revealed preference theory takes the transactional reading to its logical conclusion. We do not need to look inside the agent. We do not need to ask about needs, desires, or assessments. We only need to observe behavior — what was chosen, what was paid, what was exchanged. The transaction reveals the preference. The preference is the value. The entire genesis is methodologically eliminated. Not denied. Declared unnecessary.

Menger at least retained the agent's *Bedürfnis*. By the time the tradition reaches Samuelson, even the need has been dropped. There is only observed behavior at the point of exchange. The subject has been fully evacuated. What remains is a pattern of transactions from which "preferences" are inferred backward — not as psychological realities but as mathematical constructs that rationalize observed behavior.

VIII. The Table

8.1 — Same Wood, Same Legs, Same Surface

If a household buys a table, it is consumption. It is expensed immediately. In the national accounts, it is treated as though it is used up in the act of purchase, regardless of the fact that the table will serve the family for thirty years.

If a business buys the same table, from the same store, on the same day, it is investment — gross fixed capital formation. It is capitalized, recorded as an asset, depreciated over its useful life, carried on the balance sheet.

Same table. Same wood. Same labor to produce it. Same use — people sit at it and eat. The classification depends entirely on who bought it.

8.2 — Institutional Arrangements, Not Molecules

The nature of the artifact is not defined by its physical composition. It is defined by the institutional arrangements in which it holds. The table's economic identity — consumption or investment, expense or asset, depleted or durable — is entirely a function of where it sits in an institutional field.

8.3 — The Primary Institutional Arrangement

The business does not exist because the legal framework classifies it as a business. The legal framework classifies it as a business because people came together. Someone said to someone else: let us do something together that neither of us can do alone. Let us combine our labor, our resources, our skill, our risk. Let us make this commitment durable — let us incorporate, literally give it a body that persists beyond any single person's participation.

That is the I-We in its most concrete economic form. The going concern is a relational achievement. Before there is a balance sheet, before there is a tax classification, before there is a legal entity — there is the commitment of persons to a shared undertaking.

8.4 — Derived Arrangements

Then the law of the land arrives. Corporation law, partnership law, contract law, accounting standards — these formalize and stabilize what the relational act initiated. They are essential: without them the going concern has no durability, no legal standing, no capacity to contract. But they are second-order. The going concern is first-order. The I-We incorporating to develop a going concern is the primary institutional arrangement. Everything else is derived.

8.5 — The Household as Going Concern

The household is a going concern — one of the oldest, one of the most fundamental, one that produces more durable value than most corporations. Before the national accounts classify it as a consumption unit, there are people who live together: a family, a partnership, a shared dwelling — an I-We arrangement with its own commitments, its own duration, its own internal economy of care, labor, education, and formation.

The accounting rule that classifies every household purchase except housing as consumption encodes an ontological claim: households do not build. They use up. Only businesses accumulate, invest, create durable capacity. The family — the site of care, education, formation, the place where children learn to speak and argue and where Yuja Wang's father taught her rhythm — is classified as a site of depletion, not of composition.

The table the family eats at for three decades, around which children learn to speak, argue, celebrate, and grieve — the accounting says it was consumed the day it was bought. The identical table in a conference room is an asset with a useful life.

8.6 — Menger's Answer and Its Failure

Menger would respond: the table's value is relational, not molecular. Different agents have different needs. The household's table is first-order; the business's table is higher-order. But who decided which is which? Not the table. Not the agents. The institutional arrangement decided — the legal and accounting framework that distinguishes "household" from "business" as categories of entity. That framework is prior to both agents.

The institutional arrangements that classify the table — law, accounting standards, property regimes, tax codes — are themselves common goods. They are shared frameworks, maintained collectively, inherited from prior generations, modified through political process. They are the infrastructure of classification without which Menger's categories could not even be specified. The individual agent, facing the individual good, assessing their individual need — all of this presupposes an institutional commons that does the silent work of constituting what counts as an agent, what counts as a good, and what counts as a need.

Menger's framework stands on a commons it cannot acknowledge.

IX. The Consumer: From Bookkeeping to Ontology

9.1 — Consumption as Accounting Entry

In the System of National Accounts — the framework that governs GDP measurement worldwide — consumption is a balancing entry. On the expenditure side, household final consumption expenditure is defined as the expenditure by resident households on goods and services for individual consumption. This is not a theory of human desire finding satisfaction. It is a classification rule applied to monetary transactions.

When a person buys bread, the transaction is classified as consumption. When a corporation buys flour, the same kind of transaction is classified as intermediate consumption or investment. The good is the same. The human hunger is the same. The classification depends on the role the transaction plays in a hybrid network of agents, goods, and institutions — and on the mode of existence that the law of the land grants to the purchasing entity. A household and a corporation are different legal creatures, with different rights, obligations, and accounting treatments. The classification is not about the good. It is about the institutional identity of whoever acquires it.

9.2 — The Consumer as Classification

The consumer/producer distinction that structures economic theory is, at its operational base, a double-entry bookkeeping convention. One entity's expenditure is another entity's revenue. Consumption is the debit side of a ledger. Production is the credit side. The "consumer" is whoever sits on the debit side of a particular class of transactions.

When the national accounts say "consumers spent X billion," they are not describing a population of sovereign desire-bearing agents making free choices. They are applying an accounting rule to a set of entities. Those entities could be a family buying groceries, a single person paying rent, an elderly person purchasing medication they cannot afford to refuse, a teenager buying apps with a parent's credit card. The classification does not care. All are "consumers" because the accounting rule says: this entity, in this transaction, sits on this side of the ledger.

And the classification applies regardless of mode of existence. A family is a mode of existence with internal structure, obligations, shared history, care relations, generational transmission. A worker is a mode of existence with specific skills, vulnerabilities, relations to employers and colleagues. A citizen is a mode of existence with rights, duties, a relationship to the state. The word "consumer" dissolves all of these. When the family buys groceries, it becomes a consumer. When the worker buys lunch, they become a consumer. When the citizen pays for healthcare, they become a consumer.

9.3 — The Reification

Then something remarkable happens. The accounting classification — empty, carrying no anthropological content, a bookkeeping convention — gets reified into a figure. "The consumer" starts to appear in discourse as though it names a kind of being. Consumer confidence. Consumer behavior. Consumer choice. Consumer sovereignty. Consumer protection. An entire institutional architecture gets built around a figure that, at its base, is a basket of classified transactions.

9.4 — A Basket of Something

The consumer is a word of art used by marketing people and economists. It means a basket of something — a basket of classified transactions, not of desires, not of satisfactions, not of human flourishing. "The consumer" is an aggregation convention that has come to function as an ontology.

9.5 — The Emptiness as Resource

Precisely because the consumer has no actual mode of existence, it can be filled with any content marketing chooses. The consumer wants convenience. The consumer values choice. The consumer demands innovation. These are not empirical findings about human beings. They are projections onto an empty category — attributions of desire to a bookkeeping artifact. Marketing understood before economics did that the emptiness of the figure was a resource.

X. The Subordination of Modes of Existence

10.1 — The Worker

Before the consumer's instauration, the worker has a mode of existence with its own institutional requirements and felicity conditions. The worker produces. The worker's activity creates what was not there before. The worker's mode of existence requires specific institutions: contracts, collective bargaining, skill formation, and the recognition that labor has claims — grounded in the dignity of productive activity — independent of what the market will pay.

After the consumer's instauration, the worker is valued not as a producer but as a cost of producing what the consumer wants. Labor law becomes a rigidity — friction preventing optimal satisfaction of consumer demand. Wages are a price that should be as low as the market allows, because lower wages mean lower prices mean greater consumer satisfaction.

Then the final inversion: the worker is told that their real identity is as a consumer. You work in order to consume. The purpose of labor is the wage. The purpose of the wage is spending. The worker's mode of existence is progressively redefined by the consumer logic until the worker understands their own labor as a cost they bear in order to access consumption.

10.2 — The Family

The family is a going concern. Its felicity conditions are care, formation, duration, intergenerational transmission. It produces persons — the capacity for relationship, for language, for trust, for the kind of engagement from which genuine desire can form. Its internal economy runs on gift, obligation, sacrifice, patience.

After the consumer's instauration, the family becomes a consumption unit. The national accounts say so. The family's productive activity — raising children, caring for the elderly, maintaining the relational fabric, transmitting knowledge — none of it registers as production. It is invisible. The family appears in the framework only when it buys things.

Policy optimized for consumer welfare has no way to value what the family produces. Parental time with children is an opportunity cost — time not spent earning wages to fund consumption. Elder care at home is inefficient — it could be outsourced to a market provider where it becomes measurable consumption expenditure. Family meals around the thirty-year table are economically invisible. The same food consumed in a restaurant is GDP.

10.3 — The Commoner

The commoner's mode of existence is stewardship of shared resources. Land, water, forests, fisheries, shared knowledge, inherited technique, public space, the institutional infrastructure of collective life. The commoner's felicity conditions are sustainability, access, shared governance, the maintenance of what was received for those who come after.

After the consumer's instauration, the commons becomes a resource to be consumed. If abundant, it has no value. It enters the framework only when depleted. Clean air is not consumption. Clean water, unless bottled and sold, is not consumption. Public space, unless privatized and ticketed, is not consumption. The shared knowledge that makes civilization possible — language, mathematics, law, agricultural technique — is not consumption.

The commoner who maintains these things is economically invisible. The entrepreneur who encloses them and sells access is producing GDP. Each conversion of commons into commodity registers in the framework as growth — an increase in measured consumption. The destruction of the commons is, from inside the consumer framework, indistinguishable from prosperity.

10.4 — The Artisan

The artisan's mode of existence is mastery of a craft within a tradition. Its felicity conditions are excellence, apprenticeship, the transmission of embodied knowledge, the production of things that are well-made — judged by criteria internal to the practice, not by consumer preference.

After the consumer's instauration, the artisan's internal criteria are overwritten by market demand. Good work is what sells. Quality is what the consumer is willing to pay for. The tradition of the craft — which might say this chair should be made this way, with these joints, from this wood, regardless of whether the consumer can tell the difference — has no standing against consumer preference. If the consumer prefers the cheaper chair, the cheaper chair registers as the better chair within the framework.

10.5 — The Citizen

The citizen's mode of existence is political participation in shared governance. Its felicity conditions are rights, duties, deliberation, the capacity to shape the institutional arrangements under which one lives. The citizen is not a consumer of government services. The citizen is a co-author of the institutional order.

After the consumer's instauration, the citizen becomes a customer of the state. Public services are evaluated by consumer satisfaction metrics. Government is assessed by its efficiency in delivering services. Political deliberation — slow, conflictual, often inefficient — is reframed as a cost.

Elections begin to look like market transactions. The voter chooses among candidates the way the consumer chooses among products. The political party becomes a brand. Policy becomes a product. The citizen who composes the institutional order is replaced by the consumer who selects from a given menu. These are opposite operations, but the framework describes both with the same word: choice.

10.6 — The Pattern

In every case the structure is the same. The mode of existence is not destroyed. It is reinterpreted through the consumer grammar until its own internal logic can no longer sustain itself. The worker becomes a cost and then a consumer-in-waiting. The family becomes a consumption unit. The commoner becomes irrelevant until the commons is scarce enough to sell. The artisan becomes a luxury niche or an anachronism. The citizen becomes a customer.

10.7 — The Dependency the Framework Does Not Model

In every case, the mode of existence that is subordinated was providing something the consumer framework needs but cannot produce. The worker provided the goods. The family provided the persons capable of desire and assessment. The commoner maintained the shared conditions of economic life. The artisan maintained standards of excellence. The citizen maintained the institutional order.

The consumer does not stand alone. It depends on every mode of existence it has subordinated. When those modes of existence lose their institutional support, the consequences are not external to the economy. They are the economy losing the conditions it requires to function.

XI. Desires at Face Value

11.1 — The Unexamined Premise

The entire edifice stands on one unexamined premise: take desires as they present themselves, treat them as legitimate data, build institutions to satisfy them efficiently, and never ask where they came from.

The child who wants sugar at every meal. The teenager whose social anxiety is organized around metrics of approval on a platform designed to produce that anxiety. The professional whose ambition was shaped entirely by a prestige hierarchy they never examined. The voter whose political preferences were formed inside an information architecture built to maximize engagement through outrage. The consumer whose taste was assembled by decades of advertising that associated products with belonging, security, and youth.

None of these are heroin. All share the same structural feature: a desire that presents itself as the subject's own, that feels authentic, that passes every revealed-preference test — and whose genesis was shaped by forces the subject never encountered as forces. The desire arrived already dressed as choice.

Any time desires are treated at face value and taken as what is legitimate and must be pursued, the framework has no way to detect when the conditions under which genuine desire forms are being degraded. The degradation does not register as a problem. It registers as more preferences being satisfied.

11.2 — The Missing Variable

Once a framework models desires as data and satisfaction as the objective, the question of how desires were formed has no variable in the equation. The language of the framework has no term for it. Anyone who asks "but where did that desire come from, and what shaped it, and does the subject endorse it at the second order?" is asking a question the model is not built to process. Within the framework, the question sounds like moralism or paternalism. It is neither. It is simply a question about a force the model does not contain — like asking about temperature in a model that contains only pressure and volume.

11.3 — The Self-Reinforcing Loop

The three domains form a self-reinforcing loop. Naturalized desires require a consumer to carry them. The consumer requires equilibrium to be the condition of its satisfaction. Equilibrium requires naturalized desires to ground its welfare claims. Break any one leg and the other two lose their foundation.

The naturalization of desire (the anthropological claim) is what makes the consumer figure possible (the ontological claim), because if desires are natural then the figure that carries them needs no examination. The consumer figure without examination is what makes equilibrium a policy imperative (the political-institutional claim), because if consumers are sovereign and their desires are legitimate data, then the system that optimally satisfies those desires is by definition the best achievable outcome, and any institutional friction that slows satisfaction is by definition a distortion to be removed.

11.4 — The Disorientation

We are not disoriented because the world is complex and digital technologies have powers we have not learned to manage. We are disoriented because the framework through which we observe economic life does not contain variables for specific things that are present and active in the actual circuit.

The Descartes who discovered that desire belongs to a domain knowable only through relational engagement was not transmitted. The Smith whose subject was constitutively relational was reduced to a metaphor he barely used. Desire's temporality was replaced by an atemporal snapshot. The genesis through which needs are actually constituted — in disquiet, in conversation, in commitment with others — was replaced by a given input. Labor and the commons fell outside the model's categories. The consumer was assembled from a bookkeeping convention and placed at the center. Every actual mode of existence was reclassified under an empty category.

None of these operations was hidden. All of them can be traced. The frameworks in which they occurred are taught in every economics department in the world. The disorientation comes not from complexity but from the mismatch between the model and what moves in the circuit. What the model does not contain still operates — it just operates without being seen, measured, or accounted for.

11.5 — What a Framework Would Need to See

A framework adequate to the actual structure of economic life would need to model what this one leaves out.

It would need to see genesis — the process by which desires, needs, and assessments are actually formed, in relationship, in conversation, in institutional contexts that shape what can appear as a possibility.

It would need to see composition — the difference between a desire that builds capacity and a desire that depletes it, between a relational field that enables genuine formation and one that loops without completion, between an institution that sustains modes of existence and one that degrades them.

It would need to see the relational field — the I-We from which economic life actually emerges, the going concern as the primary institutional arrangement, the commons as the condition of possibility rather than a residual to be enclosed.

It would need to see institutional conditions — not as frictions or distortions but as the constitutive arrangements without which agents, goods, needs, and values cannot be specified.

It would need to see modes of existence — the worker, the family, the commoner, the artisan, the citizen — not as consumers wearing different hats but as distinct ways of being in economic life, each with its own felicity conditions, its own institutional requirements, its own criteria of excellence and failure.

It would need, in short, to begin where the marginalist framework stops — not with the preference and the transaction, but with the world from which they emerge and to which they return.

The circuit is not working as expected. The mismatch between the model and the actual current is traceable. What is needed is not a more complex theory of the same kind, but the inclusion of what has been left out of the equations — and attention to the specific consequences that follow from each omission.

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